Theme Discovery — Overview

Objective, taxonomy, definition, current pipeline

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One deck, four ideas: where this fits, what we mean by "theme", and what the pipeline looks like today.

Why thematic trading?

Traditional sector investing organises companies along *time-invariant* axes — sector, geography, market cap, style.

- Easy to benchmark, easy to index.
- Slow to capture structural shifts that cut *across* sectors.

Thematic trading organises companies along a *narrative* — a structural change driving demand across multiple sectors at once.

- **AI infrastructure** $\rightarrow$ chip designers + utilities + cooling + real estate
- **Energy transition** $\rightarrow$ miners + grid operators + auto manufacturers
- **GLP-1 obesity drugs** $\rightarrow$ pharma + food & beverage + medical devices

The bet: catch the narrative *before* it is priced into every constituent.

AI-Powered Thematic Alpha — where this work fits

AI Thematic Detection

extracting alpha

- Monitor **news, social media, podcasts, prediction markets** and other real-time sources to surface emerging themes *before consensus*.
- Detect **acceleration and inflection points** in attention/sentiment around predefined themes.
- **Unsupervised discovery** of new investment themes from the corpus.

◀ **Focus of this deck.**

AI Basket Construction

trade implementation

- AI-driven **thematic baskets** with dynamic rebalancing.
- **On-demand portfolio construction** from natural-language prompts.
- AI-based mapping of **companies, suppliers, and value-chain relationships** (supply risk, second-order exposure).

Next leg, downstream of detection.

Product outcomes: Alpha signals • Investing in emerging topics • Thematic baskets

Taxonomy — how we organise the world

Granularity ladder. News carries events; events recur into themes; themes plus exposure become tradable.

Event (something happening) → News (one or more events) → Theme (recurring pattern) → Investment theme (theme + exposure)

Sectors — the time-invariant baseline. Several taxonomies exist; companies' sector codes rarely change.

Standard	Maintained by	Granularity
GICS	MSCI / S&P	11 sectors → 25 industry groups → 74 industries
ICB	FTSE Russell	11 industries → 20 supersectors → 45 sectors
RBICS	FactSet	∼1,500 leaf-level sub-industries (revenue-based)

What sectors cannot capture: cross-sector narratives, transient shifts, and firms whose **thematic exposure is much larger than their sector classification suggests.**

What is a theme? — definition + Clean Energy example

Theme = a coherent narrative tying together a stream of events. Two defining properties:

1. **Transient** — has a lifecycle (emerge, accelerate, mature, fade).
2. **Cross-sector** — groups firms a sector taxonomy would scatter.

Operational definition for this project: a cluster of events that recur together over a sustained window and are mentioned in news with rising frequency.

Example — Clean Energy 2018–2024.

Cross-sector by construction. One narrative, beneficiaries in five different GICS sectors: utilities (NEE), industrials (ENPH, VWS), materials (ALB), autos (TSLA), tech (solar inverters, grid software).

Lifecycle, in one line per stage:

What the trade was worth. ICLN: $\sim$ \$10 early 2020 $\rightarrow$ $\sim$ \$33 Jan 2021 ($\sim$3.3$\times$). Most of the return happened in the **emerging** $\rightarrow$ **crowded** window (2019–early 2021). By the time the trade was institutionalised, it was over.

The pipeline today — high-level view

What it produces.

- A short list of themes, each tagged with the **nearest sector** and a similarity score.
- Two buckets: *aligned* (the theme fits a known sector) and *novel* (the candidates for cross-sector or transient narratives).

Where this sits in the bigger picture.

- This is the **AI Thematic Detection** step — the left half of slide 2.
- The output (especially the *novel* bucket) is the input to the next leg: **Basket Construction**.